ITIL Service Strategy & Management

ITIL Lifecycle for Data Center Management: Logical and physical assets are managed through a continuous lifecycle: *Strategy → Design → Transition → Operation*.

1. General Strategy & Market Space

Service Strategy defines how IT services support business objectives and customer outcomes. It answers fundamental questions: What services should we offer? Who are our customers? How will we create value? All service decisions must align with business goals, customer expectations, resources, cost, and risk.

Market Space is the business context in which a provider targets customers. Providers compete on price, quality, reliability, security, and innovation. To define a value proposition, a provider must focus on *customer outcomes* rather than just technology features.

> **Service Value: Utility vs. Warranty**
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> Services only create value when they meet customer needs across two dimensions:
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> - **Utility (Fit for Purpose):** What the service does and how it supports outcomes. *Example: A backup service can restore lost files.*
> - **Warranty (Fit for Use):** The service is available, reliable, secure, and has sufficient capacity. *Example: Files are restored securely within an agreed recovery time.*

2. Service Management as a Strategic Asset

Service management combines organizational resources and capabilities to deliver value:

- **Resources:** Infrastructure, software, data, facilities, and financial budgets.
- **Capabilities:** Technical expertise, operational processes, supplier management, and customer relationship handling.

3. Service Provider Types

Organizations source IT support through different provider models depending on their needs for control versus specialist expertise.

Feature	Type I: Internal	Type II: Shared	Type III: External
Customers	One business unit	Multiple internal units	External customers
Main Objective	Meet specific internal needs	Share common resources	Deliver external services
Cost Model	Internal budget	Allocated/shared costs	Contract or subscription
Example	Department IT team	Central corporate IT	Cloud/SOC provider

4. Financial Management

Financial management ensures service costs and resources are understood through *Budgeting*, *Accounting*, and *Charging*.

> **Understanding IT Costs**
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> - **Fixed vs. Variable:** Fixed costs are stable (annual licenses), while variable costs change with usage (pay-per-use cloud).
> - **Direct vs. Indirect:** Direct costs belong to one service (dedicated server); indirect costs are shared (general IT administration).
> - **CapEx vs. OpEx:** Capital Expenditure (long-term assets like Data Center hardware) vs. Operating Expenditure (ongoing costs like Cloud subscriptions).

5. Service Portfolio Management

The Service Portfolio manages the full collection of services to ensure investments align with business value. It consists of three components:

- **Service Pipeline:** Proposed/developing services not yet live (e.g., proposed AI attendance system).
- **Service Catalogue:** Live services available to users right now (e.g., Campus Wi-Fi).
- **Retired Services:** Discontinued services no longer offered.

6. Demand Management

Demand management balances customer demand with IT resources to avoid overprovisioning (waste) or underprovisioning (poor performance). It relies on understanding two core concepts:

- **Pattern of Business Activity (PBA):** Recurring events that influence demand (e.g., examination periods, monthly payroll).
- **User Profiles (UP):** Typical usage habits of specific groups (e.g., students use LMS; finance uses accounting software).

Techniques to manage demand include forecasting, shifting non-urgent workloads to off-peak times, and utilizing cloud auto-scaling.

7. Key ITIL Roles

Effective service strategy relies on clear accountability. A key distinction is between the **Process Owner** (accountable for overall design and effectiveness) and the **Process Manager** (coordinates daily execution).

- **Business Relationship Manager (BRM):** Understands customer needs and maintains relationships.
- **Service Owner:** Accountable for a specific service throughout its entire lifecycle.
- **Financial Manager:** Tracks budgets, forecasts costs, and supports investment decisions.
- **Demand Manager & Capacity Manager:** Work together to analyze usage patterns and ensure sufficient infrastructure is available without bottlenecks.
- **Incident Manager vs. Problem Manager:** The Incident Manager restores normal service as quickly as possible after an outage (e.g., rebooting a failed server). The Problem Manager investigates *why* it failed to prevent recurrence.